



IAS PRELIMS 2020

TERMINOLOGY ...

FOR CRYSTAL CLEAR CLARITY

ECONOMY RELATED - IV

MODULE - 7

IMPORTANT TERMINOLOGY

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RELATED-PARTY
TRANSACTIONS

A related-party transaction is a deal between two parties, who have pre-existing business relationship or common interest or among the relatives



This is the public limited textile company. Promoter is Mr. X.



The machinery for textile company is manufactured by the firm owned by Mr. Y, who is the son of Mr. X.

The company purchased machinery from the firm owned by Mr. Y and it comes under Related-Party Transactions. It is very difficult to ensure transparency in the Related-Party Transactions.

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CONFLICT OF INTEREST

A conflict of Interest is a situation in which a person or organization is involved in multiple interests, financial or otherwise, and **serving one interest could involve working against another.**



CONFLICT OF INTEREST

CLASH BETWEEN

PROFESSIONAL AFFAIRS



Rs. 3,250 cr
loan in 2012
and it became
NPA in 2017



BIAS CAN BE BECAUSE OF

- Money
- Status
- Clout

PERSONAL AFFAIRS



NuPower Renewables



+



50 : 50
In 2008



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DISGORGEMENT

A situation in which a person or organization is forced to pay back money that they have made in an illegal way.



The corrupt official purchased the building through the money he got illegally. Disgorgement means he is forced to pay back the cost of the building !



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MORAL HAZARD

It is a situation in which one party gets involved in a risky event knowing that it is protected against the risk and the other party will incur the cost.

1 TAKE THE CASE OF A HOUSE WITH & WITHOUT INSURANCE!



2 FARMER TAKING AGRICULTURAL LOAN WITH THE EXPECTATION THAT GOVT. WILL WAIVE IT OFF!



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SYSTEMIC RISK

- ◆ Systemic risk is the possibility that an event at the company level could trigger severe instability or collapse an entire industry or economy.
- ◆ It represents the risk connected to the complete failure of a business, a sector or industry, a financial institution or the overall economy.
- ◆ Companies considered to be a systemic risk are called “too big to fail”.

It became a key concept during the Global Financial Crisis (GFC).



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CONTAGION RISK

- ◆ It refers to the diffusion of either economic booms or economic crises throughout a geographic region.
- ◆ It is the spread of market changes or disturbances from one regional market to others.



This default could also accentuate contagion risk in the financial sector leading to higher costs and the polarisation of funds to better-rated NBFCs



Dewan Housing Finance Corporation Ltd. is a deposit-taking housing finance company. It has Rs. 1 lakh Cr in borrowing with banks having funded half of this borrowed amount, followed by insurers and mutual funds.

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ARBITRATION

- ◆ Settlement of a dispute between parties to a contract by a neutral third party (the arbitrator) without resorting to court action.
- ◆ Arbitration is usually voluntary, but sometimes it is required by law.



पेट्रोलियम एवं प्राकृतिक गैस मंत्रालय
MINISTRY OF
PETROLEUM AND NATURAL GAS

सत्यमेव जयते

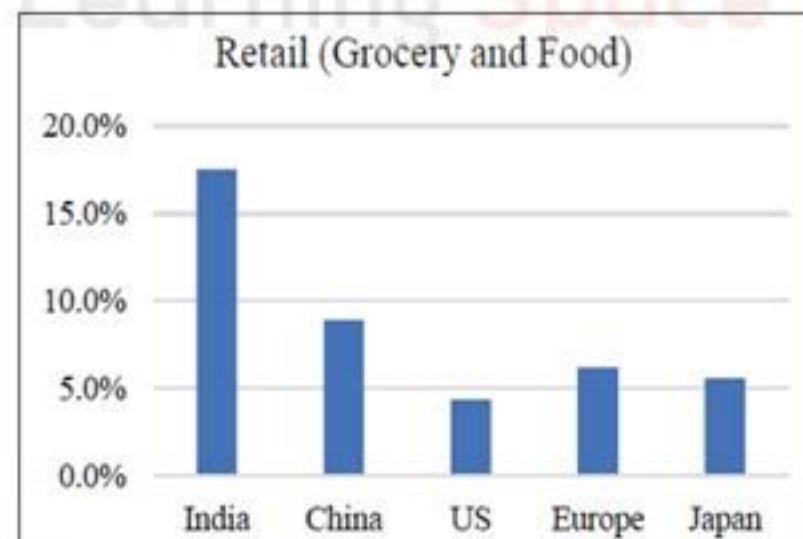
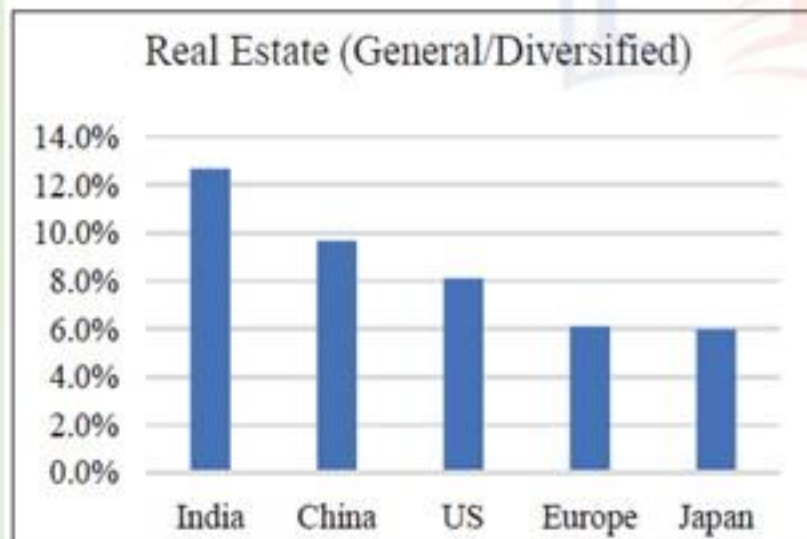


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COST OF CAPITAL

- ◆ It means the weighted average of a firm's cost of debt and cost of equity blended together.
- ◆ It is used by companies internally to judge whether a capital project is worth the expenditure of resources.
- ◆ It represents the return a company needs in order to take on a capital project,

Figure 23: Cross-country comparison of Cost of Capital across some sectors



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REAL INTEREST RATE / REAL POLICY RATE

- ◆ A real interest rate is an interest rate that has been adjusted to remove the effects of inflation.
- ◆ It is nominal interest rate – inflation.
- ◆ It can be interpreted in many ways.

REAL POLICY RATE



- Repo Rate 5.75%
 - CPI Inflation 3.00%
-
- Real Policy Rate 2.75%

REAL INTEREST RATE FOR THE DEPOSITORS



- Interest on FDs 7.00%
 - CPI Inflation 3.00%
-
- Real Interest Rate 4.00%

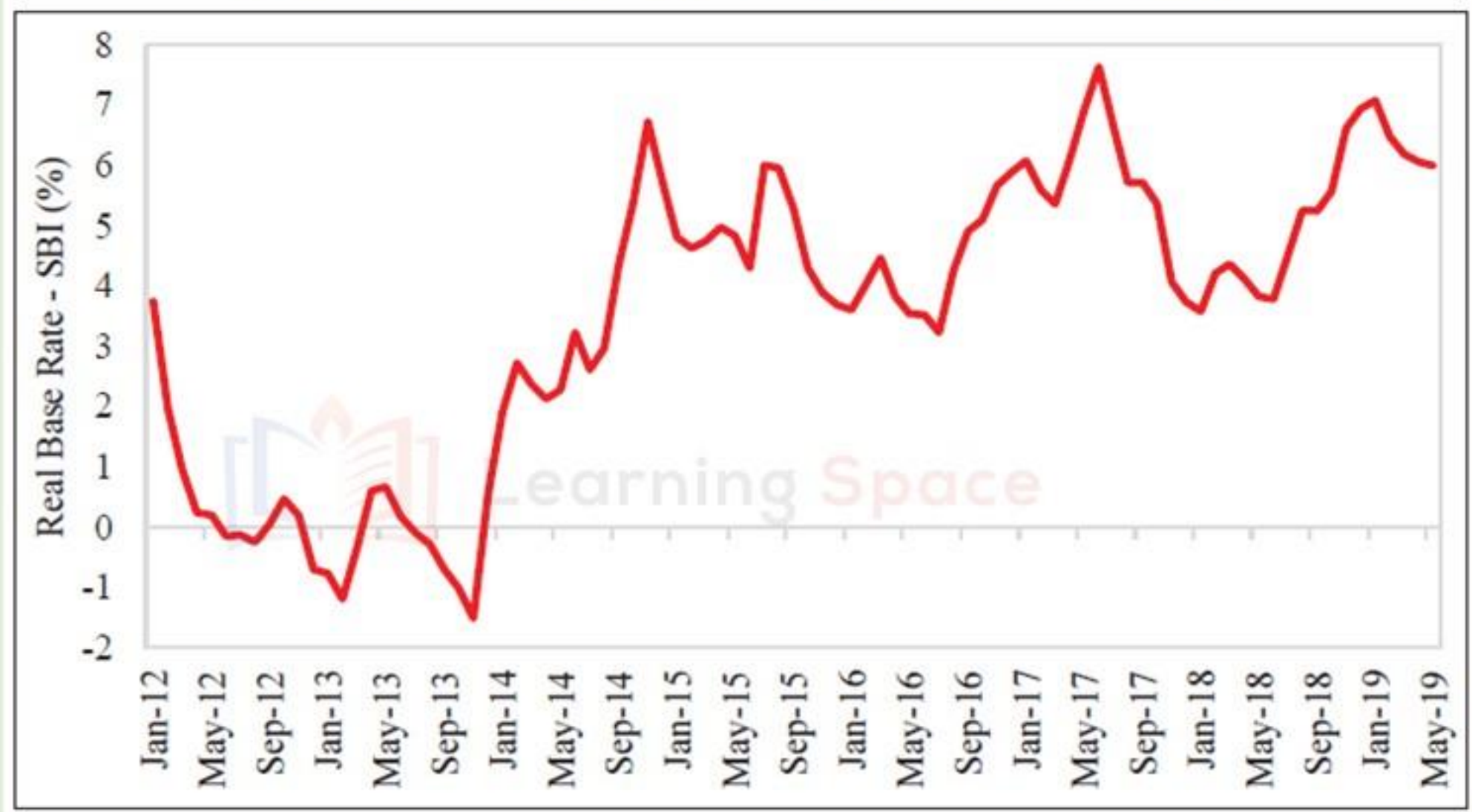
REAL INTEREST RATE FOR THE LENDERS



- MCLR for SBI 8.00%
 - CPI Inflation 3.00%
-
- Real Interest Rate 5.00%



Figure 22: Real rates of interest (Jan 2012 – May 2019)



Source: State Bank of India and Survey Calculations



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GIG ECONOMY

- ◆ It is the economy, where temporary-flexible jobs are the common place.
- ◆ Companies tend to hire part-time workers i.e., freelancers, instead of full-time employees.
- ◆ Due to the large number of people willing to work part-time, GIG Economy becomes cheaper.



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